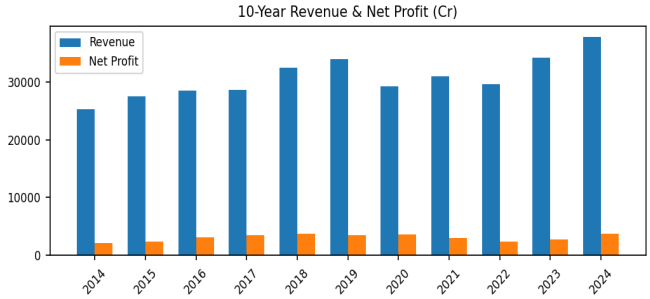
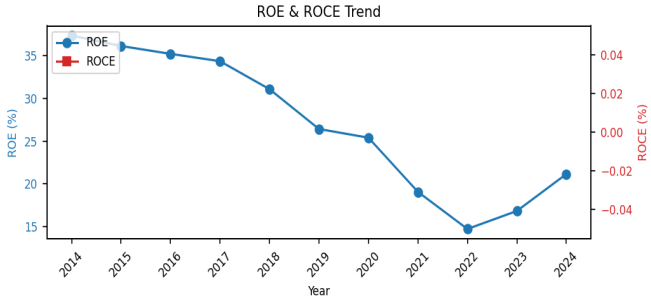
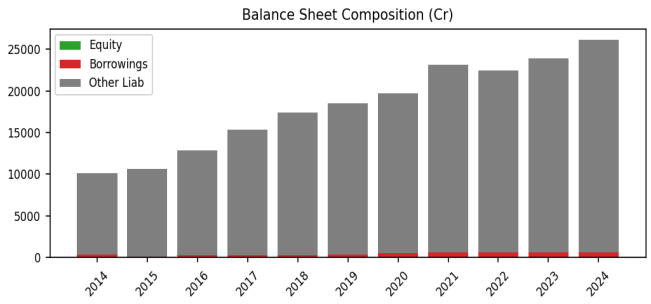
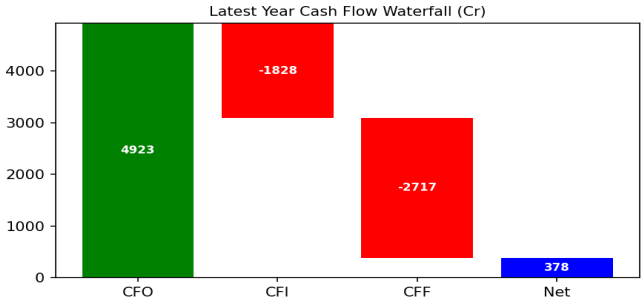
# Hero MotoCorp Ltd (HEROMOTOCO)

| Revenue | Net Profit | Total Equity |
|---|---|---|
| ■3.8T | ■3742Cr | ■40Cr |
| **ROE** | **ROCE** | **D/E** |
| 21.1% | - | 0.03x |






| Pros | Cons |
|---|---|
| • Strong free cash flow generation over 5 years signals healthy business fundamentals (Conf: 95%)<br>• Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%)<br>• Very high interest coverage ratio reflects negligible financial stress from debt servicing (Conf: 85%) | • Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable (Conf: 90%)<br>• Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (Conf: 75%) |

## Capital Allocation Pattern: Shareholder Returns